

Assuming, as seemed inevitable, that the company was to be reorganized along the lines proposed, it was clear that these Choctaw and Memphis bonds would enjoy a very strong position, whether they were to be left undisturbed with their lien on a valuable mileage and their back interest paid off, or were to be given par for par in a new, small first mortgage on the entire system. This conclusion would be inescapable unless it were true that a railroad with minimum gross earnings of 65 millions could not be counted on to meet charges of $2\frac{1}{2}$ millions annually—less than *one-fifth* its former burden.

Thus all the quantitative factors would seem to indicate strongly that the Choctaw and Memphis 5s were greatly undervalued at 35 and that *once the recapitalization was completed* the entrenched position of this issue should become manifest.⁴

Price-Value Discrepancies in Receiverships. In Chap. 18, dealing with reorganization procedure, we gave two diverse examples of disparities arising under a receivership: the Fisk Rubber case, in which the obligations sold at a ridiculously low price compared with the current assets available for them; and the Studebaker case, in which the price of the 6% notes was clearly out of line with that of the stock. A general statement may fairly be made that in cases where substantial values are ultimately realized out of a receivership, the senior securities will be found to have sold at much too low a price. This characteristic has a twofold consequence. It has previously led us to advise strongly against buying at investment levels *any* securities of a company that is likely to fall into financial difficulties; it now leads us to suggest that *after* these difficulties have arisen they may produce attractive analytical opportunities.

This will be true not only of issues so strongly entrenched as to come through reorganization unscathed (e.g., Brooklyn Union Elevated 5s, as described in Chap. 2) but also of senior securities which are “scaled down” or otherwise affected in a readjustment plan. It seems to hold

⁴ See Appendix Note 67 for text of the material in the 1934 edition relating to the Fox Film 6% Notes, due 1936, which in 1933 were selling at 75 to yield 20% to maturity.

Further Example: In 1938 Tung Sol Lamp Company 4% Notes, due 1941, were selling at 50. The very small size of this issue, in relation to the company's resources and earnings, made payment apparently certain. (In fact they were called in 1939 in advance of maturity.)